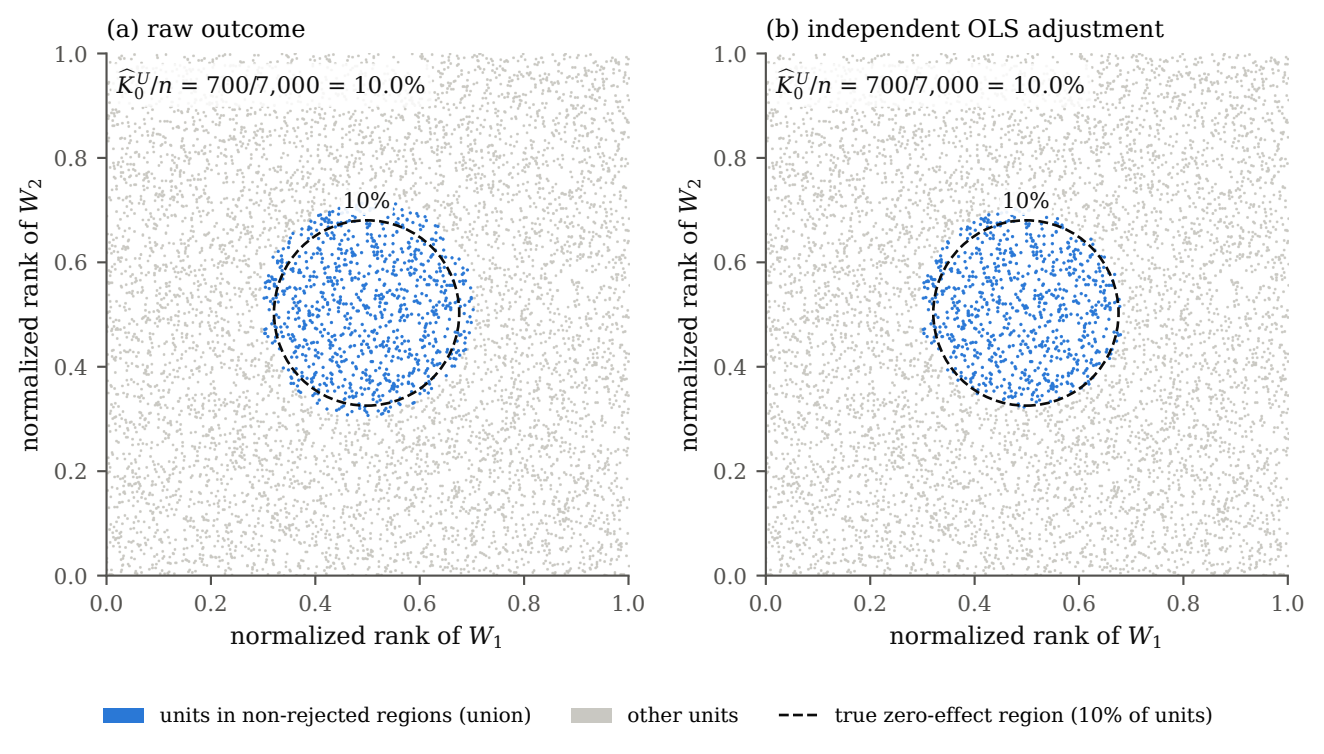

(a) raw outcome
$\widehat{K}_0^U/n$ = 700/7,000 = 10.0%
10%
normalized rank of W_2
normalized rank of W_1
0.0
0.2
0.4
0.6
0.8
1.0
(b) independent OLS adjustment
$\widehat{K}_0^U/n$ = 700/7,000 = 10.0%
10%
normalized rank of W_2
normalized rank of W_1
units in non-rejected regions (union)
other units
true zero-effect region (10% of units)